

Draft

TAX REVIEW COMMISSION 2025-2027

Meeting Minutes, **Friday, September 18, 2026**

Virtual Meeting

Meeting was held virtually and video recorded.

Recorded Video Link: <https://www.youtube.com/watch?v=JJmulgwRl5M>

Friday, September 18, 2026

2:00 p.m.

PRESENT:

Commission Members:

Jonathan White (Chair), Judith Chock (Vice-Chair), Jessica Enos, Mark Fukunaga, Stacey Katakura, Jeffrey Ueoka and Jon Yasuda

Staff Members:

Department of Taxation (DOTAX): TRC Executive Director Dr. Baybars Karacaovali (DOTAX Tax Research & Planning Officer)

Attorney General's Office:

Deputy Attorney General Joshua Michaels

Guest Panelists:

Karl Frieden and Dylan Waits (Council On State Taxation)
Dr. John Knox
Dr. Dylan Moore (UHERO)

1. CALL TO ORDER

Chair White called the meeting to order at 2:02 p.m. A quorum was present.

Roll Call:

Mr. Jonathan White	Present
Ms. Judith Chock	Present
Ms. Jessica Enos	Present
Mr. Mark Fukunaga	Present

Ms. Stacey Katakura	Present
Mr. Jeffrey Ueoka	Present
Mr. Jon Yasuda	Present

2. COMMUNICATIONS TO THE COMMISSION AND PUBLIC COMMENT

Chair White asked if there was any communication to the Tax Review Commission (TRC).

Dr. Karacaovali said there was no written communication received and invited public to come forward using the chat/Q&A function over Zoom.

Chair White allowed time for comments from the public. Five members of the public were in attendance; no public comments were submitted in chat or Q&A.

3. MINUTES OF THE MEETING OF SEPTEMBER 1, 2026

Chair White asked the Commission if there were any changes to the September 1, 2026, minutes.

Chair White asked if there were no objections, the minutes would be approved by acclamation.

There were no objections, so the minutes got approved.

4. PRESENTATION BY KARL FRIEDEN AND DYLAN WAITS (COUNCIL ON STATE TAXATION) TITLED “A NATIONAL PERSPECTIVE ON HAWAII'S STATE AND LOCAL TAXES: A LOOK AT EXCISE TAXES, ADMINISTRABILITY, AND CORPORATE TAXES”:

Overview

This was the second external presentation in the Commission's planned series. COST provided a comprehensive comparative review of Hawaii's tax structure relative to national norms, with particular focus on:

- Composition of state and local taxation
- Business tax burden data
- Hawaii's General Excise Tax (GET)
- Administrative best practices
- Corporate income tax structure

Major Themes & Discussion Points

National vs. Hawaii Tax Composition

- Hawaii relies heavily on consumption taxes, particularly the GET, compared with national averages.
- Hawaii's property tax share is much lower relative to other states, largely due to the structure of the state economy and relatively limited industrial base.
- While Hawaii's income tax system is progressive, reliance on consumption taxes places Hawaii near the national middle in overall regressivity.

Business Tax Burden

- Hawaii's business share of total state/local taxes is near the national average.
- COST emphasized the importance of looking beyond corporate income tax—property tax, excise tax, and business input taxation are more influential in business tax burden.

General Excise Tax (GET) Structure

Key observations:

- Hawaii's GET has an exceptionally broad base, similar only to South Dakota and New Mexico.
- The broad GET base allows Hawaii to capture revenue from emerging digital sectors without new laws but also creates significant pyramiding, taxing goods and services multiple times along supply chains.
- Pyramiding leads to effective tax rates higher than the statutory 4–4.5%, depending on industry structure.
- Most states exempt many business inputs to mitigate pyramiding; Hawaii exempts very few, making pyramiding a central concern for business taxpayers.

Digital Taxation Trends

- Many states are slowly expanding sales tax bases to digital products and software. Hawaii is already far ahead due to the GET's broad reach.
- COST cautioned against separate digital advertising taxes; Hawaii already taxes such activities within the GET.

Administrative Practices

COST identified areas for potential improvement that are revenue-neutral:

- Extend corporate filing deadlines to align with federal extended deadlines.
- Adopt longer appeal periods (moving from 30 days to the recommended 90 days).
- Improve federal audit adjustment conformity.
- Ensure even-handedness in interest rates on assessments vs. refunds.

Corporate Income Tax

- Hawaii's CIT structure (rate, water's-edge reporting, exclusion of GILTI/"NECTY") places it roughly in the national mainstream.
- Hawaii's use of three-factor apportionment stands out, as most states have shifted to single-sales-factor apportionment.

Commission Questions

Commissioners asked about:

- Effective tax rates after pyramiding
- Equity and competitiveness implications
- Relationship between Hawaii's economic composition and tax structure
- Treatment of flow-through entities

COST responded with detailed analysis of pyramiding studies, national comparisons, and Hawaii's unusual structural profile.

Chair White reminded presenters of time constraints due to subsequent agenda items.

The Commission thanked the presenters for their comprehensive review.

Council on State Taxation Presentation slides are available at the Tax Review Commission website and also at the following url:

https://files.hawaii.gov/tax/stats/trc/docs2025/2026-09-18-Council_State_Taxation_Presentation.pdf

BREAK:

Chair White called for a brief break at approximately 3:04 PM and asked each Commission member to turn off their microphones, turn off their cameras, and avoid discussing any TRC business during the break.

Commission members returned from their break at 3:15pm to resume the meeting.

5. PRESENTATION BY DR. JOHN KNOX TITLED "TOURISM, TRANSIENT ACCOMMODATIONS TAX (TAT), AND COMPETITIVENESS":

Overview

Dr. Knox presented an extensive data-driven review of Hawaii's tourism trends and the historical interplay between visitor taxes (TAT and GET) and visitor behavior.

Major Themes & Discussion Points

Tourism Market Composition

- Hawaii is now overwhelmingly dependent on the U.S. West and U.S. East markets (over 80% of visitor volume and spending).
- Japan and other international markets have fallen dramatically.

Visitor Tax Burden Over Time

- Combined GET, county surcharges, green fees, and TAT now total 18.71%, among the highest lodging tax burdens nationwide.
- Historical increases in TAT and reallocation of revenues have steadily shifted funds toward the general fund and away from tourism marketing or management.

Historical Correlation Analysis

Dr. Knox reviewed correlations between tax rates and tourism outcomes:

- Visitor arrivals: Positive long-term correlation; tax increases did not correspond with declines.
- Visitor census (average visitors present): Same positive correlation, though recent decreases reflect shorter stays.
- Length of stay: Weak long-term correlation; declines since 2011 not clearly tied to tax changes.
- Real visitor spending: Near-zero correlation with tax rate changes.
- Daily spending: Historically negative correlation (higher taxes, lower daily spending), but reversed upward after the pandemic, indicating higher per-day expenditures.

Dr. Knox emphasized that tax changes tend not to move major tourism metrics on their own.

Shift in Visitor Spending Patterns

- Growing share of spending is directed to lodging, possibly influenced by rising lodging taxes and fees.
- Shopping has declined as a spending category.

Visitor Attitudes

Visitor satisfaction surveys continue to show:

- “Too expensive” remains the top reason for not planning a return trip.
- Post-pandemic concern about costs has increased.

Use of TAT Revenues

- Based on national comparisons, Hawaii allocates very little of lodging tax revenue to tourism-related uses (roughly 2.5% vs. a national average of 41%).
- Hawaii allocates far more to the general fund (about 72%).

Dr. Knox noted long-standing industry concerns that tourism-related revenues are not reinvested into tourism competitiveness or management.

Policy Considerations

Knox encouraged the Commission to consider:

- Ensuring stable revenue streams for tourism marketing and management
- Tracking all tourism-related revenues (including fees and minor taxes)
- Possible guidelines for TAT allocation by category
- Acknowledging political resistance to major structural changes in TAT use or rate

Commission Discussion

Commissioners asked about:

- Variations in tax impact across hotel market segments
- Reliability of visitor data (especially front/back of arrival forms)
- Possible explanations for rising average daily spend

Dr. Knox clarified current data availability, noted that average party size has slightly increased, and discussed potential methodological concerns with electronic arrival forms.

Dr. Knox's presentation slides are available at the Tax Review Commission website and also at the following url:

https://files.hawaii.gov/tax/stats/trc/docs2025/2026-09-18-Dr_John_Knox_Presentation.pdf

6. CLOSING DISCUSSION: FUTURE MEETING AGENDA & SCHEDULING

- The next TRC meeting is scheduled for September 29, 2026 at 2:00 PM HST.
- Commissioners agreed to invite UHERO for a brief status update related to the Commission's interim report timeline.
- Additional agenda items will include updates on communications with the Legislature and continued topic prioritization.

Chair White opted to postpone scheduling of meetings beyond September 29 until that date.

7. ADJOURNMENT:

With no further business, Chair White adjourned the meeting at 3:51 p.m.